

Mindteck Inc. and its Subsidiary

Consolidated Financial statements

March 31, 2023 and 2022

(With Independent Auditors' Report)

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED FINANCIALS
MARCH 31, 2023 & 2022

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INDEPENDENT AUDITOR'S REPORT

**The Board of Directors,
Mindteck (India) Limited**

Report on the Audit of Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Mindteck, Inc. and its subsidiary (the Group), which comprise the consolidated balance sheet as of March 31, 2023 and the related consolidated statement of income and comprehensive income/ (loss), changes in stockholders' equity and cash flows for the years then ended. And the related notes to the consolidated financial statements including a summary of significant accounting policies.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements are prepared, in all material respects, in accordance with the basis of accounting described in Note 2 to those consolidated financial statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

Basis of Accounting and Restriction on Distribution

We draw attention to Note 2 to the consolidated financial statements which describe the basis of accounting. These consolidated financial statements are prepared solely for internal use of the management. As a result, these consolidated financial statements may not be suitable for another purpose. This report should not be used by, referred to or distributed for any other purpose. We do not accept or assume responsibility to anyone other than to whom this report is addressed, for our audit work, for this report, or for the opinion we have formed. Our opinion is not modified in respect of this matter.



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Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with U.S. generally accepted accounting principles and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibility for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.



Suresh Surana & Associates LLP

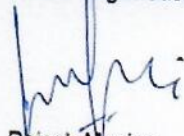
Chartered Accountants

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Other Matters

The comparative financial statements of the Company for the year ended March 31, 2022 included in the consolidated financial statement had been audited by predecessor auditor whose report dated August 11, 2022 expressed an unmodified opinion on the same. Our conclusion is not modified in respect of these matters.

For Suresh Surana & Associates LLP
Chartered Accountants
Firm's Registration No. 121750W / W-100010


Rajesh Maniar
Partner

Membership No.: 040833
ICAI UDIN: 23040833BGXWOR9696



Place: Bengaluru, India
Date: June 28, 2023

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED BALANCESHEETS
(In United States Dollars)

<u>Assets</u>	As of March 31, 2023	As of March 31, 2022
<i>Current assets:</i>		
Cash and cash equivalents	4,026,668	4,035,408
Accounts receivable from affiliates (Notes 3 & 10)	200,909	239,302
Accounts receivable, net of allowances (Note 3)	2,947,821	3,459,256
Unbilled revenue	1,224,693	1,597,687
Loan to affiliates (Note 10)	678,270	748,343
Income tax assets	83,607	42,040
Other current assets (Note 4)	108,576	176,186
Total current assets (A)	9,270,544	10,298,222
<i>Non-current assets:</i>		
Property and equipment, net (Note 5)	4,318	6,919
Deposits	-	-
Total non-current assets (B)	4,318	6,919
Total assets (C)=(A)+(B)	9,274,862	10,305,141
 <u>Liabilities and Stockholders' equity</u>		
<i>Current liabilities:</i>		
Accounts payable	395,720	445,568
Accounts payable to affiliates (Note 10)	960,493	1,227,246
Income tax liabilities	-	19,794
Borrowings	-	-
Other current liabilities (Note 7)	654,461	1,303,779
Unearned revenue	41,968	114,348
Compensated absences	153,434	207,235
Total current liabilities (D)	2,206,076	3,317,970
<i>Non-current liabilities:</i>		
Other long term liabilities	-	-
Total non-current liabilities (E)	-	-
Total liabilities (F)=(D)+(E)	2,206,076	3,317,970
 Commitments & Contingencies (Note 14)		
 Stockholders' equity		
Common stock, \$1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	19,000	19,000
Additional paid-in capital	8,194,493	8,194,493
Retained earnings/(Accumulated deficit)	(1,121,873)	(1,230,260)
Accumulated other comprehensive income/(loss)	(22,834)	3,938
Total stockholders' equity attributable to Mindteck, Inc. (G)	7,068,786	6,987,171
Total liabilities and stockholders' equity (H) = (F) + (G)	9,274,862	10,305,141

See accompanying notes to consolidated financial statements.


MEGAZ DHARIA
PRESIDENT



MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME/(LOSS)
(In United States Dollars)

	Year ended March 31, 2023	Year ended March 31, 2022
Revenues	20,543,019	21,130,059
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(17,707,970)	(17,804,101)
Selling, general and administrative expenses (excluding depreciation and amortization)	(2,777,648)	(3,881,387)
Impairment of goodwill	-	-
Depreciation and amortization (Note 5)	(2,936)	(1,631)
Total operating expenses	(20,488,554)	(21,687,119)
Operating income/(loss)	54,465	(557,060)
Other income (Note 6)	10,157	2,471,842
Interest (expense)/income, net	49,844	4,611
Income/(loss) before income taxes	114,466	1,919,393
Income tax benefit/(expense) (Note 8)	(6,079)	(37,717)
Net income/(loss)	108,387	1,881,676
Other comprehensive income/(loss):		
Foreign currency translation adjustment	(26,772)	(912)
Total comprehensive income/(loss) attributable to the Company	81,615	1,880,764

See accompanying notes to consolidated financial statements.

Mehnaz Dhanani
MEBNAZ DHANANI
PRECIDENT



MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF EQUITY
(In United States Dollars, except share data)

	Common Stock		Additional Paid-in Capital	Retained earnings/ (Accumulated deficit)	Accumulated Other Comprehensive income/(loss)	Total Stock holders' Equity
	Number of shares	Amount				
As at April 01, 2021	19,000	19,000	8,194,493	(3,111,936)	4,850	5,106,407
Stock compensation expense [Note 11]	-	-	-	-	-	-
Net income/(loss)	-	-	-	1,881,676	-	1,881,676
Other comprehensive income/(loss)	-	-	-	-	(912)	(912)
As at March 31, 2022	19,000	19,000	8,194,493	(1,230,260)	3,938	6,987,171
Stock compensation expense [Note 11]	-	-	-	-	-	-
Net income/(loss)	-	-	-	108,387	-	108,387
Other comprehensive income/(loss)	-	-	-	-	(26,722)	(26,772)
As at March 31, 2023	19,000	\$ 19,000	8,194,493	(1,121,873)	(22,834)	7,068,786

See accompanying notes to consolidated financial statements.


MESWAR PHANAN
 MINDTECK, INC.
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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In United States Dollars)

	Year ended March 31, 2023	Year ended March 31, 2022
Cash flows from operating activities:		
Net income/(loss)	108,387	1,881,676
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>		
Depreciation and amortization	2,936	1,631
PPP Loan	-	(2,469,200)
Allowance for doubtful accounts	61,496	-
Loss on sale of fixed assets	-	-
<i>Changes in operating assets and liabilities</i>		
Accounts receivable and unbilled revenue	846,090	69,095
Other assets and deposits	67,503	11,927
Income taxes	(61,301)	(1,390)
Accounts payable	(309,229)	983,199
Other liabilities	(771,559)	(258,358)
Net cash provided by operating activities	(55,718)	218,580
Cash flows from investing activities:		
Expenditure on property and equipment	(1,382)	(6,281)
Purchase Return	1,047	-
Net cash used in investing activities	(335)	(6,281)
Cash flows from financing activities:		
Disbursement of Loan	-	(487,985)
Proceeds from recovery of loan	70,073	-
Proceeds from borrowings	-	-
Net cash provided by financing activities	70,073	(487,985)
Effect of exchange rate changes on cash and cash equivalents	(22,760)	1,597
Net changes in cash and cash equivalents	(8,740)	(274,089)
Cash and cash equivalents at beginning of year	4,035,408	4,309,497
Cash and cash equivalents at end of year	4,026,668	4,035,408
Supplementary information:		
Cash paid for interest	102	-
Cash received for interest	49,946	4,718
Income taxes paid	-	-

See accompanying notes to consolidated financial statements.



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

1. Organization and description of the business

Mindteck Inc. ("the Company"), is a software development and consulting company headquartered in Camp Hill, Pennsylvania. The Company was incorporated on November 14, 1995 and is a subsidiary of Mindteck (India) Limited ("MIL"). On January 10, 2018, Mindteck Canada, Inc. ("Mindteck Canada") was incorporated under the laws of Canada as a wholly owned subsidiary of the Company.

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements and principles of consolidation

The accompanying consolidated financial statements have been prepared, in accordance with recognition and measurement principles generally accepted in the United States, by management for its internal use only.

The accompanying financial statements have been prepared on a consolidated basis and reflect the financial statements of the Company and its subsidiary that are more than 50% owned or controlled. The consolidated financial statements of the Company, includes the accounts of its wholly owned subsidiary, Mindteck Canada. All intercompany transactions and balances are eliminated in consolidation.

The functional currency and reporting currency of the Company is the United States Dollar ("USD/\$").

(b) Use of estimates:

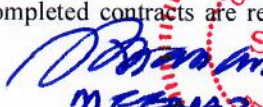
The preparation of these financial statements requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of plant and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from those estimates. Management believes that the estimates used in the preparation of the consolidated financial statements are prudent and reasonable. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

Rendering of services:

The Company derives its revenues primarily from software development and IT-enabled service including technical consultancy services. Revenues are recognized when there is persuasive evidence of a contractual arrangement with customers, services have been rendered, the fee is fixed or determinable and collectability is reasonably assured. The Company has concluded that it has persuasive evidence of a contractual agreement when it enters into an agreement with its customers with terms and conditions which describe the services and the related payments are legally enforceable. Revenues are recognized net of value added tax and applicable discounts and includes reimbursements of out-of-pocket expenses, with corresponding cost for out-of-pocket expenses included in cost of revenues.

The services are performed under both time-and-material and fixed-price arrangements. Revenues with respect to time-and-material are recognized as the related services are performed. Time-and-material contracts typically bill at an agreed upon hourly or daily rate. Revenue related to fixed fee arrangements are recognized using the percentage completion method based on actual direct costs in relation to total estimated costs. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the


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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

period in which such losses become probable based on the current contract estimates.

The Company grants volume discounts to certain customers, which are computed based on a pre-determined percentage of total revenues from those customers during a specified period, as per the terms of the contract. These discounts are earned only after the customer has provided a certain specified cumulative level of revenues in the specified period. The Company reports revenues net of discount offered to customers.

The Company recognizes cash discounts as a reduction of revenues.

Multiple contracts with a single counterparty are evaluated to determine whether such contracts should be accounted for as separate contracts or aggregated and accounted for as a single contract. The Company evaluates whether the services are interdependent or interrelated with respect to the services being performed. If contracts are considered separate, the related costs are identified, tracked and reported separately and the contracts are serviced by different project management teams and potentially performed at different locations.

Interest income:

Interest income is recognized using the time proportion method, based on the transactional interest rates.

Unbilled revenue:

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement.

Deferred revenue/ unearned revenue:

Deferred revenue represents billing in excess of revenue recognized and advance payments received from customers for which no services have been rendered. Billing done during the reporting period in excess of revenue recognized or billing done in advance is recorded as deferred revenue until the revenue recognition criteria is met.

Allowance for doubtful accounts:

Accounts receivables are reviewed periodically to determine the probability of loss. Accounts receivables are recorded at the invoiced amount and do not bear interest. The allowance for uncollectible accounts is determined using the combination of the specific identification method for balances deemed uncollectible, as well as judgments made by the Company based upon historical and expected collection experience.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, accounts and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and accounts and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions.


MEENAZ D KADANI
PRESIDENT

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

The Company has a concentration of its revenue and receivables with specific customers. The accounts receivable, net of allowances, amounted to USD 3,152,070 and USD 3,698,558 as of March 31, 2023 and 2022 respectively. Revenues amounting to more than 10% of the total revenue of the Company accounted from three customers amounting to USD 10,435,428 in 2023 and from two customers amounting to USD 8,039,444 in 2022. The amounts due from these customers accounted for USD 1,549,521 of accounts receivable as of March 31, 2023 and USD 1,623,095 as of March 31, 2022, respectively.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected. Accounts receivable balances are charged off against the allowance after all means of collection have been exhausted and the potential for recovery is considered remote.

(f) Property and equipment, net:

Plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. Upon disposal, assets and related accumulated depreciation are removed from the Company's accounts and the resulting gains and losses are reflected in current earnings in the consolidated statements of income. The Company depreciates property and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	3 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

Property and equipment are reviewed for impairment if indicators of impairment arise. There were no impairment charges related to property and equipment recognized during the years ended March 31, 2023 and 2022.

(g) Goodwill:

The Company accounts for its business combinations under the acquisition method of accounting. Goodwill represents the cost of the acquired businesses in excess of the fair value assigned to identifiable net assets acquired.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.


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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

h) Employee benefits:

Defined contribution plan

Eligible employees of the Company in the United States may elect to participate in an employee retirement savings plan maintained pursuant to Section 401(k) of the United States Internal Revenue Code of 1986, as amended, (the "401(k) Plan"). The 401(k) Plan allows for employees to defer a portion of their annual earnings on a pre-tax/after tax basis through voluntary contributions to the 401(k) Plan. The Company may make discretionary matching contributions under the 401(k) Plan, but the Company is not currently making any such matching contributions.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position. For the year ended March 31, 2021, the Board of Directors identified no material uncertain income tax positions relevant to the jurisdictions where the Company is required to file income tax returns.

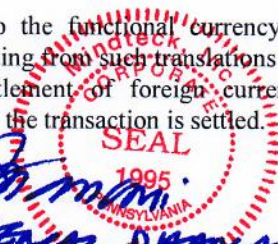
Pursuant to adoption of ASU 2015-17 "Balance sheet Classification of Deferred Taxes", the Company has classified all deferred tax assets and liabilities as non-current on the balance sheet prospectively.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates. The Company presents the entire compensated absences balance as a current liability in the balance sheet since it does not have an unconditional right to defer its settlement for twelve months after the reporting date.

(k) Foreign currency translation:

Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled.


MEENAZ KHANNA
PRESIDENT

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

The functional currency of Mindteck Inc. is U.S. dollars. The functional currency of Mindteck Canada Inc. is determined as Canadian dollars (CAD) based on the evaluation of the individual and collective economic factors as discussed in ASC Topic 830-10. The assets and liabilities of Mindteck Canada Inc. are translated into U.S. dollars (\$) exchange rates in effect at the balance sheet date, and revenues and expenses are translated at average rates of exchange in effect during the period. The resulting cumulative translation adjustment is recorded in accumulated other comprehensive income/(loss) in stockholders' equity.

(l) Employee stock options:

Certain employees of the company have been granted stock options under Mindteck (India) Limited's Mindteck Employee Stock Option Scheme, 2005, Employee Stock Option Scheme 2008, and Employee Stock Option Scheme 2020 which gives such employees the right to purchase equity shares of MIL on exercise.

The Mindteck (India) Limited accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks-based payments awards based on the grant date fair value of those awards. For awards with graded vesting that are linked to service condition, the Mindteck (India) Limited recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated. Legal costs incurred in connection with the same are expensed as incurred.

(n) Leases

(i) Operating leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased asset are classified as operating leases. Payments for assets acquired under an operating lease are recognized in the consolidated statement of income over the term of the lease on a straight-line basis.

(o) Cost of revenues and selling, general and administrative expenses

Cost of revenue primarily includes the compensation cost of technical staff, travel costs, sub-contractor costs, data and portal expenses, and other expenses that are related to the generation of revenue.

Selling, general and administrative expenses generally include the compensation cost of sales, management and advisory personnel, travel costs, training cost, advertising, business promotion, rent, repairs, electricity, communication expenses and other general expenses not attributable to cost of revenue.

Advertising costs are expensed as incurred and are included in selling, general and administrative expenses.

(p) Subsequent events

The Company evaluates events and transactions that occur subsequent to the balance sheet date but prior to the issuance date of the consolidated financial statements to determine the necessity for recognition and/or reporting of any of these events and transactions in the consolidated financial statements.



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(q) Recently issued accounting pronouncements

In June 2016, FASB issued ASU 2016-13, *Financial Instruments-Credit Losses*. The amendments in this update require a financial asset (or a group of financial assets) measured at amortized cost basis to be presented at the net amount expected to be collected. The allowance for credit losses is a valuation account that is deducted from the amortized cost basis of the financial assets to present the net carrying value at the amount expected to be collected on the financial asset. The income statement reflects the measurement of credit losses for newly recognized financial assets, as well as the expected increases or decreases of expected credit losses that have taken place during the period. The measurement of expected credit losses is based on relevant information about past events, including historical experience, current conditions, and reasonable and supportable forecasts that affect the collectability of the reported amount. An entity must use judgment in determining the relevant information and estimation methods that are appropriate in its circumstances.

The update was effective for fiscal years beginning after December 15, 2020, which was deferred to fiscal years beginning after December 15, 2022 by ASU No. 2019-10 issued in November 2019. The Company is currently evaluating the impact of this ASU on its consolidated financial statements and disclosures.

3. Accounts receivable:

Accounts receivable consists of:

	As of March 31,	
	2023	2022
Accounts receivable from affiliates (Refer Note 10)	200,909	239,302
Accounts receivable, net of allowances		
Accounts receivable, gross	3,009,179	3,459,256
Less: Allowance for doubtful accounts	(61,359)	-
Accounts receivable, net of allowances	2,947,821	3,459,256

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	For the year ended March 31,	
	2023	2022
Allowance at the beginning of the year	-	44,088
Provision Created/(Reversed)	61,359	^(44,088)
Allowance at the end of the year	61,359	-



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4. Other current assets:

Other current assets consist of the following:

	As of March 31,	
	2023	2022
Prepaid expenses	78,278	173,997
Advances to suppliers and others	4,979	(290)
Deposits	451	2,479
Interest & Short Term Gain Accrued	24,868	-
Other current assets	108,576	176,186

5. Property and equipment, net:

Property and equipment, net consist of the following:

	As of March 31,	
	2023	2022
Computer equipment	63,551	92,442
Furniture and fixtures & office equipment	-	201,428
Property and equipment, gross	63,551	293,870
Less: Accumulated depreciation	(59,233)	(286,951)
Property and equipment, net	4,318	6,919

Depreciation expense on property and equipment amounted to USD 2,936 and USD 1,631 for the years ended March 31, 2023 and 2022 respectively.

6. Other income:

Paycheck protection program

On April 13, 2020 the Company received \$2,469,200 pursuant to Coronavirus Aid, Relief and Economic Security (CARES) Act's Paycheck Protection Program. The Company applied to the Bank for forgiveness of the amount based on certain costs incurred during the 8 week period beginning on the date of first reimbursement of the Program. Subsequently, on June 10, 2021, the entire amount was forgiven in principal and interest in favor of the Company. Accordingly, the amount of USD 2,469,200 recorded as 'Other income' during the year ended March 31, 2022.

Other Income Consist of :

	As of March 31,	
	2023	2022
PPP Loan forgiven	-	2,469,200
Others	10,157	2,642
Other Income	10,157	2,471,842

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7. Other current liabilities:

Other current liabilities consist of:

	As of March 31,	
	2023	2022
Salary and wages payable	326,840	378,115
Accrued expenses	302,231	893,943
Statutory liabilities	25,390	31,721
Other current liabilities	654,461	1,303,779

8. Income taxes:

The income tax expense during the years ended March 31, 2023 and 2022 consist of the following:

	For the year ended March 31,	
	2023	2022
Current tax expense/(benefit):		
Federal	(16,103)	37,717
State	22,182	-
	6,079	37,717
Deferred tax expense/(benefit):		
Federal	-	-
State	-	-
	-	-
Income tax expense/(benefit)	6,079	37,717

Income tax expense for the year ended March 31, 2023, relates to state and federal income taxes. Income tax expense attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 21% primarily due to changes in valuation allowance, permanent differences, and state income taxes.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2023 and 2022 are as follows:

	As of March 31,	
	2023	2022
Deferred tax assets:		
Bad debt reserve	-	-
Carry forward business losses	1,318,009	1,256,687
Accrued expenses and liabilities	125,843	172,407
Plant and equipment	356	394
Total gross deferred tax asset	1,444,209	1,429,488
Less: Valuation allowance	(1,444,209)	(1,429,488)
Total deferred tax assets	-	-

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Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and considering the uncertain economic environment and the COVID-19 pandemic, projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will not realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2021. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD 1,444,209 and USD 1,429,488 as of March 31, 2023 and March 31, 2022 respectively representing an increase in valuation allowance of USD 14,721 on deferred tax assets including deferred tax assets in relation to the net operating loss carry forward.

As of March 31, 2023, the Company has federal net operating loss carry forwards of USD 5,113,920 and state net operating loss carry forwards of USD 3,781,378 available to offset future taxable income, which expire in various years beginning in 2032.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2018. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2017. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.

9. Revenue from contracts with customers

Disaggregation of revenue

Revenue by type of contract

	For the year ended March 31,	
	2023	2022
Time-and-material	19,438,944	20,342,252
Fixed price	1,104,075	787,806
Total	20,543,019	21,130,059

Timing of revenue recognition

	For the year ended March 31,	
	2023	2022
Services transferred at a point in time	-	-
Services transferred over time	20,543,019	21,130,059
Total	20,543,019	21,130,059

The performance obligations under revenue contracts included maintenance and support services or; delivery of specific milestones/deliverables. These performance obligation for revenue recognized during the year were satisfied over time since the customers simultaneously received and consumed the benefits as the Company performed the services.


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Contract balances

Accounts receivable, net

The customers are billed on a regularly scheduled basis, such as bi-weekly or monthly. The payment terms are generally 30 to 90 days.

Unbilled revenue

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement.

Unearned revenue

Unearned revenue consists of billings in advance of revenue recognition from services and is recognized as revenue when transfer of control to customers has occurred. Unearned revenue relates to contract with billing milestones which are different from performance under the contract and advance billing for maintenance and support contracts for which revenue is recognized ratably over time.

10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	For the year ended March 31,	
	2023	2022
Income from IT-enabled services:		
a) Mindteck (India) Limited – holding company	171,380	316,080
Reimbursement of expenses from:		
a) Mindteck (India) Limited – holding company	38,291	32,427
b) Mindteck UK Limited - fellow subsidiary	-	3,871
c) Mindteck Singapore Pte Ltd– fellow subsidiary	-	-
d) Mindteck Germany GmbH– fellow subsidiary	-	-
e) Mindteck Malaysia – fellow subsidiary	-	-
f) Mindteck Middle East Limited SPC - fellow subsidiary	-	-
Subcontracting costs:		
a) Mindteck (India) Limited – holding company	65,15,633	63,91,085
b) Mindteck Singapore Pte Ltd– fellow subsidiary	87,336	33,813
c) Mindteck Germany GmbH– fellow subsidiary	41,075	-
Reimbursement of expenses to:		
a) Mindteck (India) Limited – holding company	131,680	175,378
b) Mindteck Singapore Pte Ltd– fellow subsidiary	8,140	39,701
c) Mindteck Middle East Limited WLL – fellow subsidiary	1,431	-


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The balances receivable from and payable to related parties as at March 31, 2023 and 2022 are as follows:

Accounts receivable:	As of March 31,	
	2023	2022
<i>Outstanding Balance Receivable from:</i>		
Mindteck (India) Limited - holding company	89,844	127,974
Mindteck Germany GmbH - fellow subsidiary	111,065	111,065
Mindteck Malaysia – fellow subsidiary	-	-
Mindteck Middle East Limited SPC - fellow subsidiary	-	-
Mindteck Singapore Pte Ltd - fellow subsidiary	-	-
Mindteck UK Limited - fellow subsidiary	-	263
Total Accounts receivable	200,909	239,302

Accounts payables:	As of March 31,	
	2023	2022
<i>Outstanding Balance Payable to:</i>		
Mindteck (India) Limited – holding company	502,331	851,587
Mindteck Singapore Pte Ltd– fellow subsidiary	29,168	23,683
Mindteck Germany GmbH - fellow subsidiary	12,836	-
Total Outstanding Balances payable to affiliates	544,335	875,270

<i>Sub Contractor – Fees accrued:</i>		
Mindteck (India) Limited – holding company	416,158	351,976
Total Accounts payables	960,493	1,227,246

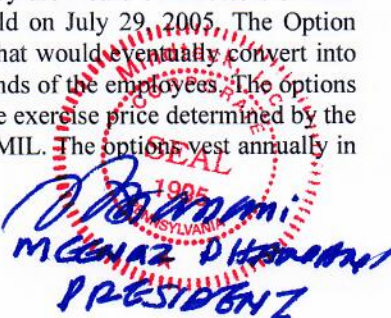
Loans to affiliates:	As of March 31,	
	2023	2022
Mindteck Germany GmbH – fellow subsidiary	678,270	748,343
Total	678,270	748,343

Loan to Mindteck Germany GmbH carries interest of 1% with an option to pay anytime on or before August 30, 2031. The interest income relating to the loan to Mindteck Germany GmbH as at March 31, 2023 and March 31, 2022 amounts to USD 7,019.20 and USD 4,409.15 respectively.

11. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the “Mindteck Employees Stock Option Scheme 2005” (“the Option Scheme 2005”) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors of MIL. The options vest annually in


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a graded manner over a three-year period and are exercisable during a maximum period of five years from the date of vesting.

Mindteck (India) Limited has granted Nil options during the year ended March 31, 2023 and 2022, respectively.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2023	2022	2023	2022
Outstanding at the beginning of the year	5,600	5,600	0.50	0.50
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	(5,600)	-	(0.50)	-
Exercised during the year	-	-	-	-
Outstanding at the end of the year	-	5,600	-	0.50
Exercisable at the end of the year	-	5,600	-	0.50

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2008' ('the Option Scheme 2008') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry of a period of twelve months from the date on which the options are granted. The vesting term and the period over which the options are exercisable is to be decided by the Nomination & Remuneration Committee of the Board of Directors.

The Mindteck (India) Limited has granted Nil options during the year ended March 31, 2023 and 2022, respectively.

Stock option activity under the Option Scheme 2008 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2023	2022	2023	2022
Outstanding at the beginning of the year	113,333	113,333	1.15	1.15
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	(46,666)	-	(0.94)	-
Exercised during the year	-	-	-	-
Outstanding at the end of the year	66,667	113,333	1.10	1.15
Exercisable at the end of the year	66,667	113,333	1.10	1.15

Mindteck Employees Stock Option Scheme 2020

During the year ended March 31, 2021, Mindteck (India) Limited introduced 'Mindteck Employees Stock Option Scheme 2020' ('the option scheme 2020') for the benefit of its employees administered through the Mindteck Employees Welfare Trust ('The Trust') in lieu of Company's earlier Employee Share Incentive Scheme 2000. The Trust, which was constituted for this purpose, subscribed to 416,000 equity shares renounced in its favour by the company's promoters/directors in the company's earlier

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rights issue. The Scheme was approved by the board of Directors in its meeting held on December 11, 2020 and by the shareholders through postal ballot held on January 17, 2021. The Option Scheme 2020 provides for the issue of 416,000 options that would eventually convert into equity shares of Rs. 10 each in the hands of the employees. The options are granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination and Remuneration Committee of the Board of Directors. The options will vest after as per the expiry of a period of twelve months from the date on which the options are granted. The Vesting term and the period over which the options are exercisable is shall be decided by the Nomination and Remuneration Committee.

During the year ended March 31, 2022, Mindteck (India) Limited has granted 350,000 options on June 20, 2021.

During the year ended March 31, 2023, the company has not granted any options.

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2023	2022	2023	2022
Outstanding at the beginning of the year	-	-	-	-
Granted during the year	-	50000	-	0.13
Forfeited and lapsed during the year	-	(50000)	-	(0.13)
Exercised during the year	-	-	-	-
Outstanding at the end of the year	-	-	-	-
Exercisable at the end of the year	-	-	-	-

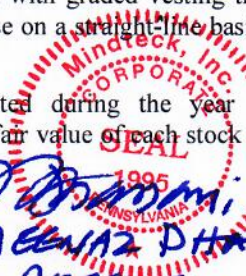
The following table summarizes key information relating to the Option Scheme 2005, Option Scheme 2008 and Option Scheme 2020:

Particulars	Weighted average remaining contractual life		Range of exercise price	
	2023	2022	2023	2022
Option Scheme 2005	-	0.66	-	\$0.50-\$0.50
Option Scheme 2008	0.92	1.61	\$1.10	\$0.59-\$1.22
Option Scheme 2020*	-	-	-	\$0.13

*Cancelled during the year.

During the year ended March 31, 2023 and 2022, the Company recognized approximately USD Nil and USD Nil as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

The per share weighted average fair value of stock options granted during the year ended March 31, 2023 and 2022 were USD Nil and USD Nil, respectively. The fair value of each stock option


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grant is estimated on the date of grant using the Black-Scholes option pricing model. The Company has not granted any options during the year ended March 31, 2023.

The unamortized stock compensation cost relating to unvested options as at March 31, 2023 and March 31, 2022 amounts to USD Nil and USD Nil respectively. The total ESOP costs was USD Nil and USD Nil during the years ended March 31, 2023 and 2022 respectively.

12. Leases

Operating leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

Future minimum lease payments under non-cancelable leases are as follows:

Year ending March 31, 2024	36,185
Total	36,185

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 35,824 and USD 36,324 for the years ended March 31, 2023 and 2022 respectively.

13. Commitments and contingencies

Capital commitments

There were no capital commitments as of March 31, 2023 and 2022.

Contingencies and lawsuits

The Company is not involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

14. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the Board of Directors.

15. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements.

The Company evaluated all events or transactions that occurred between March 31, 2023 and June 28, 2023 the date the Company issued their financial statements and determined that no events or transactions which would require adjustments in the Company's financial statements except as disclosed above.


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